

Cogeco Inc.

A controlled telecom holdco trading at a 25% discount to its own listed stake: the discount, not the dividend, is the trade

CGO, Toronto Stock Exchange

OVERWEIGHT

Price (9 September 2026): **C\$54.71**

Price Target (Dec-27): **C\$83.00**

INVESTMENT THESIS

We rate Cogeco Inc. OVERWEIGHT with a Dec-27 price target of C\$83.00, 52% above the 9 September 2026 close of C\$54.71; adding the 7.2% yield, total return is 59%. Cogeco Inc. is the controlled holdco atop Cogeco Communications (TSX: CCA), owning 28.4% of its equity but 79.8% of its votes, plus a wholly owned 22-station radio network. The stock trades near 5.8x trailing adjusted EPS and a 7.2% yield; a consolidated EV/EBITDA overstates leverage against the minority economic claim, a distortion we unpack on page 4.

The trade is the discount, not the operating story. CCA's own equity is worth about C\$2,486mm, so CGO's 28.4% stake alone is worth roughly C\$73.22 per CGO share, against which the C\$54.71 price is a 25% discount, before the radio stations count for anything. This is a controlled-holdco discount, not a distressed-asset one: Canadian segment EBITDA grew a third straight quarter, and the board raised the dividend 7% the same quarter it booked a C\$1.8bn non-cash US impairment. Our target bridges a Dec-27 NAV of C\$100.82, narrowed 18% for C\$82.67, blended 50/25/25 with a dividend method (C\$91.24) and a two-analyst consensus (C\$74.00), for a blended C\$82.65, rounded to C\$83.00.

- CGO's 28.4% look-through stake in CCA alone is worth C\$706mm, C\$73.22/share, versus CGO's own C\$528mm market cap (C\$54.71/share); the radio stations count for nothing.
- CCA dividends received cover CGO's own C\$38.1mm payout 1.24x over; both companies raised their quarterly dividend 7% to C\$0.987 in the same year as the US writedown.
- Honest offset: Gestion Audem's 80.3%-vote control means the discount has no closing mechanism; the family rejected a 2020 C\$11.1bn bid worth C\$123.00/CGO share, against which today's price is 56% lower. Second offset: Breezeline is 45% of revenue and it produced the impairment.

COMPANY OVERVIEW

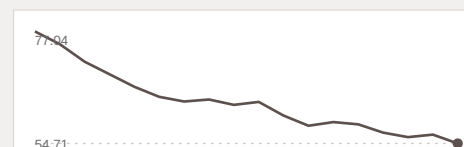
Cogeco Inc. is a Montreal-based, 31 August fiscal-year-end holdco reporting three segments: Canadian telecommunications (Cogeco Connexion and Cogeco Mobile), American telecommunications (Breezeline, 13 US states), and Media (the 22-station radio network, reported with corporate costs as 'Other'). Q3 FY26 revenue split roughly 52% Canadian, 44% American and the balance Media; segment and subscriber detail appears on page 3. Gestion Audem Inc. controls Cogeco Inc. (80.3% votes / 18.2% equity), which controls CCA (79.8% votes / 28.4% equity); Rogers sold its entire stake to CDPQ in December 2023 and now holds zero shares of either. Detail on page 3.

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PRICE PERFORMANCE



12-month price path (C\$): illustrative rendering of the disclosed 52-week range; the final 12 weekly points are actual verified closes. TSX: CGO

COMPANY DATA

Shares O/S (mm)	9.64
Market Cap (C\$mm)	527.6
52-Week Range (C\$)	54.25-77.04
Avg. Daily Volume (3M)	18,770
Public Float (mm)	7.7
Beta (5Y)	0.59
EV (C\$bn, consol.)	5.07
Stake in CCA (eq./votes)	28.4% / 79.8%
Audet control (votes/eq.)	80.3% / 18.2%
Book Value / Share (C\$)	49.89
Dividend (ann.) / Yield	C\$3.948 / 7.22%
Fiscal Year End	August 31

KEY METRICS / ESTIMATES

(C\$mm)	FY24A	FY25A	FY26E	FY27E
Revenue	3,074	3,008	2,874	2,889
Adj. EBITDA	1,455	1,453	1,405	1,426
Adj. EPS (C\$)	10.52	9.46	10.94	11.26
GAAP Dil. EPS (C\$)	8.55	8.81	(35.09)	10.49
P/E (adj.)	5.2	5.8	5.0	4.9

FY24A/FY25A as reported (Cogeco Inc. consolidated, FYE Aug 31). FY26E built from nine months of FY26 actuals plus Cogeco Communications' reaffirmed FY26 guidance (revenue -4% to -2%, adj. EBITDA -3.5% to -1.5%); FY27E is analyst-derived, not guidance or consensus. GAAP FY26E reflects the Q3 non-cash impairment (C\$1.8bn after tax; C\$405.7mm attributable to CGO holders). P/E at C\$54.71.

Q3 FISCAL 2026 RESULTS

Cogeco Communications, the operating subsidiary, reported third-quarter fiscal 2026 (quarter ended 31 May 2026) revenue of C\$696.7mm, down 4.7% year over year, and adjusted EPS of C\$2.35 versus consensus of C\$2.29, a modest 2.6% beat and up +29.1% year over year. Reported diluted EPS at CCA was a loss of C\$32.28, driven by a non-cash pre-tax impairment of C\$2.2bn (US\$1.6bn), C\$1.8bn (US\$1.3bn) net of deferred tax, against Breezeline goodwill (C\$1.9bn), indefinite-life franchise rights (C\$174.9mm), property and equipment (C\$127.6mm) and right-of-use assets (C\$3.4mm), as fibre overbuild and fixed wireless competitors keep taking share in the US footprint. At the Cogeco Inc. level the consolidated loss was C\$1,760mm, of which only C\$405.7mm was attributable to Cogeco Inc.'s own shareholders after non-controlling interests absorbed an implied C\$1,354mm, roughly 77% of the hit, reflecting CGO's own 28.4% economic interest; diluted loss per Cogeco Inc. share was C\$42.84, against adjusted diluted EPS of C\$3.10, up +29.2% year over year.

Nine-month results are running slightly outside management's own reaffirmed guidance on a reported basis. CCA's nine-month revenue of C\$2,097.0mm was down 4.7%, beyond the 2% to 4% decline range guided on 9 April 2026 and reaffirmed at the third-quarter call in July despite the writedown; adjusted EBITDA of C\$1,043.0mm was down 3.8% reported, also just beyond the 1.5% to 3.5% guided range, though the constant-currency decline of 3.1% sits back inside it. We think that reported-basis shortfall is worth flagging rather than smoothing over, even as free cash flow of C\$449.8mm, up +9.9%, is tracking toward the top of the guided 0% to 10% growth range, helped by net capex of C\$560-600mm guided (19.5%-21.5% of revenue). Management flagged the fourth quarter itself as 'difficult, with a material increase in customer losses,' which it characterised as a point-in-time effect rather than a change in trend; no fiscal 2027 guidance has been issued, and Q4/full-year fiscal 2026 results are due 4 November 2026, the next hard catalyst for both stocks.

On capital allocation, Cogeco Inc. repurchased and cancelled the 5,969,390-share block CDPQ had bought from Rogers for C\$280.0mm, C\$46.89 per share; further NCIB activity at either company was not separately disclosed. CCA's net indebtedness was C\$4,389.8mm, 3.2x adjusted EBITDA against a roughly 3.0x internal target, at a 5.4% weighted average cost of debt with C\$935mm of liquidity and a 3.8-year average maturity; a US\$150mm senior secured note was reclassified to current at 31 May 2026 ahead of its September 2026 maturity. Cogeco Inc.'s own consolidated net debt was C\$4,542.2mm, also 3.2x adjusted EBITDA; a standalone holdco-only balance sheet was not disclosed, so parent-level net cash or debt, distinct from CCA's own balance sheet, is treated as unquantified rather than estimated.

FINANCIAL SUMMARY

Cogeco Inc.: summary financials (consolidated, FYE 31 August)

C\$mm, except per-share data	FY24A	FY25A	9M FY26A	FY26E	FY27E
Revenue	3,074.0	3,008.1	2,172.8	2,874.2	2,888.6
% growth	–	-2.1%	–	-4.4%	+0.5%
Canadian telecommunications	1,510.5	1,495.3	1,127.1	–	–
American telecommunications	1,466.0	1,415.2	970.4	–	–
Media activities and corporate	97.5	97.6	75.4	–	–
Adjusted EBITDA	1,454.8	1,452.9	1,055.9	1,404.8	1,425.9
Adj. EBITDA margin	47.3%	48.3%	48.6%	48.9%	49.4%
Operating income (GAAP)	–	–	–	–	–
Net income attrib. to CGO holders (GAAP)	96.7	85.0	(358.5)	(338.4)	101.2
Diluted EPS (GAAP)	\$8.55	\$8.81	\$(37.81)	\$(35.09)	\$10.49
Adjusted EPS	\$10.52	\$9.46	\$8.22	\$10.94	\$11.26
% growth	–	-10.1%	–	+15.6%	+3.0%
P/E on adj. EPS (@ C\$54.71)	5.2x	5.8x	–	5.0x	4.9x
Capex, net of subsidies	–	–	401.0	560-600	–
Free cash flow (consolidated)	–	514.4	454.5	565.3	–
Dividend per share (CGO)	\$3.40	\$3.68	\$2.961	\$3.948	\$4.106
Net debt (consol.) / Net debt-EBITDA	–	–	4,542.2 / 3.2x	–	–

Source: Cogeco Inc. and Cogeco Communications Inc. earnings releases and MD&A through Q3 fiscal 2026 (quarter ended 31 May 2026). Consolidated figures include 100% of Cogeco Communications although CGO holds 28.4% of its equity; attributable figures are after non-controlling interests. FY26E revenue and adjusted EBITDA continue the nine-month year-over-year trend into an implied Q4, close to but not the same as CCA's reaffirmed FY26 guidance range; FY26E EPS applies the nine-month adjusted-EPS-to-EBITDA ratio to that Q4 and may flatter it, given management's caution on Q4 customer losses. All FY26E and FY27E figures are analyst-derived, not guidance or published consensus; no FY27 guidance or consensus exists for Cogeco Inc. An en-rule marks figures not disclosed on a comparable basis, not modelled at segment level, or not applicable.

OWNERSHIP STRUCTURE: WHY A DISCOUNT EXISTS AT ALL

Cogeco Inc. is controlled by Gestion Audem Inc., the Audet family holding vehicle, which owns 18.2% of Cogeco Inc.'s equity but 80.3% of its votes through multiple voting shares carrying 20 votes each. Cogeco Inc. in turn owns 28.4% of the equity of Cogeco Communications but 79.8% of its votes, through the same mechanism one level down. Cogeco Inc. also wholly owns Cogeco Media's 22 radio stations, which do not trade separately and are reported with corporate costs, with no standalone valuation disclosed. Rogers Communications, a roughly one-third equity holder of both entities for two decades, sold that entire stake to CDPQ in December 2023 and now holds zero shares of either Cogeco entity; CDPQ today holds 16.1% of CCA's equity, no Cogeco Inc. shares, and a separate direct 21% stake in Breezeline itself.

The structure has been tested, not merely theorised. In 2020, Rogers and Altice USA jointly bid a revised C\$11.1bn for both Cogeco entities and a split of the assets, offering C\$123.00 per Cogeco Inc. share (up from C\$106.53) and C\$150.00 per Cogeco Communications share (up from C\$134.22), plus C\$900mm to the Audet family for their stake. Louis Audet's answer was unambiguous: 'This is not a negotiating strategy, but a definitive refusal. We are not interested in selling our shares.' Both independent boards rejected it as well. The takeaway is two-sided: the assets have already drawn a real strategic bid at C\$123.00 per share, a mark today's C\$54.71 sits 56% below, but no future bid succeeds without a family consent it says it will not give.

SEGMENT DETAIL

Canadian telecommunications remains the operating story. Nine-month revenue of C\$1,127.1mm generated adjusted EBITDA of C\$599.2mm, a 53.2% margin; the third quarter alone grew adjusted EBITDA +3.9% on revenue up only +0.5%, a third consecutive quarter of EBITDA growth. Internet additions of 4,788 in the quarter (18,340 for the nine months) offset video losses of 9,453 and phone losses of 6,559, an industry-wide pattern rather than a Cogeco-specific one. Cogeco Mobile, the MVNO-based wireless offering, covers 99% of the Canadian footprint on C\$588mm of acquired spectrum. Cogeco's own fibre remains small relative to the telcos across those 2,149,675 homes passed, a point we return to under risks.

American telecommunications (Breezeline) is where the thesis is contested. Nine-month revenue of C\$970.4mm produced adjusted EBITDA of C\$481.6mm, a 49.6% margin, but the third quarter alone saw revenue down 10.1% reported (7.8% constant currency) and adjusted EBITDA down a similar 10.0%. Internet net losses were 1,146 in the first quarter of fiscal 2026, down sharply from 5,726 a year earlier, but widened to 4,472 by the third quarter (10,791 for the nine months); ARPU is not disclosed. Management cited 'significant turbulence' and customers 'optimising wallets' amid fibre overbuild and fixed wireless competition, while noting four straight quarters of positive internet trends in Ohio and calling fixed wireless confined to 'limited pockets of rural footprint' rather than a broad volume threat. The C\$1.8bn after-tax impairment hit Breezeline goodwill, franchise rights, property and equipment; the goodwill left after the charge was not disclosed.

Media activities, the 22-station radio network, is reported with corporate costs as an 'Other' segment rather than broken out; that combined segment generated C\$75.4mm of nine-month revenue and C\$12.8mm of adjusted EBITDA, a 16.9% margin, which blends radio profitability with corporate overhead and should be read as an approximation of Media's economics, not a clean figure. For context, Stingray/TuneIn traded in November 2025 at C\$175mm, about 5.8x its target's projected C\$30mm adjusted EBITDA and 1.6x revenue, the anchor we use for Media in the next section. Cogeco Inc.'s attributable earnings come from CCA's results after the roughly 72% of CCA's economics held by non-controlling interests, which is why a C\$1,760mm consolidated loss becomes a C\$405.7mm loss attributable to Cogeco Inc.'s own shareholders.

Cogeco Inc.: Q3 FY2026 by segment (quarter ended 31 May 2026)

C\$ in millions	Revenue	YoY	Adj. EBITDA	YoY	Margin	Int. subs (000s)	Net adds (000s)
Canadian telecommunications	376.7	+0.5%	203.9	+3.9%	54.1%	956.5	+4.8
American telecommunications	320.0	-10.1%	159.8	-10.0%	49.9%	605.3	-4.5
Media activities and corporate	27.5	–	–	–	–	–	–
Consolidated	724.2	–	357.0	–	49.3%	1,561.8	+0.3

Source: Cogeco Communications Inc. Q3 fiscal 2026 release and MD&A; segment figures are as reported by CCA, which Cogeco Inc. consolidates at 100%. Constant currency; American revenue -7.8%, American adjusted EBITDA -7.8%, consolidated adjusted EBITDA -2.0%. Media and corporate quarterly YoY and EBITDA were not disclosed (only a nine-month combined C\$12.8mm), and Cogeco Inc.-specific consolidated YoY was not disclosed quarterly; both carry an en-rule rather than an approximation. Quarterly video net additions: Canada -9,453, US -1,523; phone: Canada -6,559, US -529. Homes passed 3,952,283 (2,149,675 Canada, 1,802,608 US).

Cogeco Inc.: look-through net asset value per share

Component	Basis	Value (C\$mm)	Per CGO share (C\$)
CCA shares held by CGO x CCA price (spot)	12.01mm sh @ C\$58.77	706.0	73.22
Media activities and corporate ("Other")	9M EBITDA C\$12.8mm ann. @ 6.0x	102.4	10.62
Holdco net cash / (debt), other net assets	not separately disclosed	–	–
Look-through NAV (spot)		808.4	83.84
CGO share price (9 September 2026)		–	54.71
Discount to NAV (spot)		–	34.7%
NAV at Dec-27 (CCA at consensus target C\$72.40; Media unchanged)		972.2	100.82
Target discount (analyst judgment, partial narrowing)		–	18%
Method A value (50% weight in blend)			82.67

Share counts 9,642,888 Cogeco Inc. and 42,300mm Cogeco Communications shares; price pair as of 9 September 2026. No verified history of Cogeco Inc.'s discount to NAV exists, so the target discount is analyst judgment, not a historical average. Media and corporate combines Cogeco Media with corporate overhead as reported; its C\$12.8mm nine-month EBITDA is annualised x4/3, not guided. Parent-only net cash or debt, distinct from CCA's balance sheet, was not disclosed and is excluded rather than estimated.

VALUATION & PRICE TARGET

Our Dec-27 price target of C\$83.00 is a 50/25/25 blend of three methods. (A) 50% weight on a look-through NAV with the discount narrowing. Cogeco Inc.'s 28.4% stake, 12.01mm CCA shares, is valued at Cogeco Communications' consensus mean target of C\$72.40 (5 analysts) rather than spot, giving C\$869.8mm, or C\$90.20 per Cogeco Inc. share; Media activities and corporate, whose nine-month adjusted EBITDA of C\$12.8mm we annualise to C\$17.1mm, is valued at 6.0x EV/EBITDA, near the 5.8x paid for Stingray/TuneIn in November 2025, adding C\$102.4mm (C\$10.62/share). Holdco-level net cash or debt was not separately disclosed and is excluded rather than estimated. The resulting Dec-27 NAV of C\$100.82 per share is discounted 18%, a partial narrowing from today's 25% discount to the stake alone (and roughly 35% against the fuller NAV including Media), for a Method A value of C\$82.67. The 18% target is judgment, not a verified historical series: it assumes only partial normalisation, consistent with the family's refusal to sell control, the one mechanism that would close the discount completely.

(B) 25% weight on a dividend-based method. A Gordon growth model on Dec-27 DPS of C\$4.106 (this year's C\$3.948 annualised rate grown 4%, roughly half the pace of the 7% raise just taken, itself a deceleration from the 8.2% FY25 increase), an 8.5% cost of equity and the same 4% growth rate gives C\$91.24. We deliberately underweight this method because it is highly sensitive to the growth assumption: at 3.0% growth it falls to C\$74.65, and at 4.5% it rises to C\$102.65. A target-yield cross-check, Dec-27 DPS divided by the 4.66% median yield of BCE, TELUS, Rogers and Quebecor, gives C\$88.20, a useful sanity bound even though we do not use it directly. (C) 25% weight on CGO's own published consensus: with 2 analysts (mean C\$74.00, high C\$81.00, low C\$67.00), at least the two required to use consensus directly, we take the mean of C\$74.00. As a cross-check, the CCA-consensus fallback, Cogeco Inc.'s stake at CCA's target discounted 18%, implies C\$73.96, almost identical to the actual two-analyst mean, suggesting CGO's own thin coverage is implicitly using a similar framework. Blending 50/25/25 gives C\$82.65, rounded to C\$83.00, 52% price return plus the 7.2% yield for 59% total return against the +15% Overweight threshold.

Sensitivity: holding the discount at today's 25% level rather than narrowing to 18% pulls the blend to C\$78.98; widening it to 30%, near the wide end of a plausible range for a family-controlled dual-class holdco with no stated catalyst, pulls it to C\$76.60; a CCA reference price 10% below the current consensus target moves it to C\$78.95; full narrowing to a 5% discount lifts it to C\$89.20. The blend is robust across roughly C\$77 to C\$89, and the rating does not flip within that band; the price target would need to fall to about C\$58.97, a price return of 8% against the 7.2% yield, for total return to drop to the +15% threshold. A stacked bear case, CCA at its low analyst target of C\$68.00 rather than the mean, Media at no value, the discount stuck at today's fuller-NAV 35% with no narrowing, dividend growth stalling to zero and CGO's consensus reverting to its C\$67.00 low, lands the blend at roughly C\$56.47 for a 10% total return: NEUTRAL. That is deliberately harsh on every input at once rather than a single-variable shock, and not our base case, but it is the honest answer to what would flip the rating.

Peer qualifications owed to the reader. On trailing P/E, CGO at 6.3x and CCA at 8.7x screen above BCE (4.86x) and Rogers (4.47x, distorted by a large one-off item and kept for completeness) and far below Quebecor (17.02x), so the P/E screen is not where the value sits; on EV/EBITDA, CGO's 4.30x is the lowest in the group against a 7.53x peer median, and that is the multiple the discount shows up in. TELUS's trailing multiple is not meaningful, reflecting a C\$2.1bn Telus Digital writedown in the second quarter of 2026 that left TTM GAAP earnings negative. Our consolidated look-through EV/EBITDA for Cogeco Inc. nets 100% of Cogeco Communications' debt against only a 28.4% economic interest, overstating the leverage genuinely attributable to a Cogeco Inc. shareholder; CCA's own 3.2x net debt/EBITDA is the more relevant operating-leverage figure. CGO's 7.2% yield sits inside the peer range (BCE and TELUS both cut, by roughly 56% and 55%, in the past year; Quebecor raised 12.5% in the second quarter of 2026), which argues the market is not simply pricing CGO as a distressed yield trap.

Earnings quality and the bear case in our own numbers. Nine-month GAAP diluted EPS of C\$(37.81) sits nowhere near the C\$8.22 adjusted figure, entirely a function of the Breezeline impairment rather than a cash flow problem, but a real reminder that American telecommunications, 45% of nine-month revenue and 46% of adjusted EBITDA, has genuinely deteriorating trends and management itself flagged a difficult fourth quarter. An analyst who assumes the discount is structural at roughly 35% rather than narrowing, values Media at nothing, and takes the low end of both consensus ranges lands at the roughly C\$56.47 bear case above, Neutral rather than Overweight; that is a respectable position built from the same verified inputs, and we hold ours with the risk stated plainly. Coverage is part of the case too: 2 analysts publish CGO targets versus 5 for CCA, and roughly 18,770 shares a day (about C\$1.03mm) means a C\$5mm position takes about 5 trading days to build or exit.

Estimate provenance: FY26E revenue and adjusted EBITDA come from nine months of actual FY26 results plus the year-over-year trend in Cogeco Communications' reaffirmed guidance; FY26E EPS and all FY27E figures here are analyst-derived, not company guidance or published consensus, since no FY27 guidance has been issued for either company.

Canadian telecom and cable peer group: trading multiples

Company (ticker)	Price (C\$)	Mkt cap (C\$bn)	Trail. P/E	EV/EBITDA	Div. yield	Net debt/EBITDA
Cogeco Inc. (CGO)	54.71	0.53	6.30x	4.30x	7.22%	3.2x
Cogeco Communications (CCA)	58.77	2.49	8.70x	5.10x	6.72%	3.2x
BCE Inc. (BCE)	32.79	30.58	4.86x	6.57x	5.34%	3.8x
TELUS Corp. (T)	13.81	21.75	n.m.	8.42x	10.43%	3.5x
Rogers Communications (RCI.B)	50.51	27.29	4.47x	7.05x	3.97%	3.9x
Quebecor Inc. (QBR.B)	65.34	14.72	17.02x	8.01x	2.45%	–
Peer median (4, ex-CGO/CCA)	–	–	4.86x	7.53x	4.66%	3.8x

Source: company disclosures and third-party market-data aggregators, week of 9 September 2026. Forward P/E was not independently verified and is omitted, not estimated. The median excludes CGO and CCA, TELUS on P/E (not meaningful) and Quebecor on net debt/EBITDA (not found). Dividend actions, past year: BCE cut roughly 56% (from C\$3.99), TELUS cut roughly 55% (Q2 2026), Rogers flat since 2019, Quebecor +12.5% (Q2 2026), both Cogeco entities +7% (FY26). Coverage: CGO 2 analysts, mean C\$74.00 (C\$67.00-81.00); CCA 5, mean C\$72.40 (C\$68.00-83.00), 2 Buy / 3 Hold / 0 Sell. Rogers' 4.47x P/E is distorted by a one-off item and is footnoted, not dropped. CGO's 3.2x net debt/EBITDA consolidates 100% of CCA's debt against a 28.4% economic interest, overstating the leverage a CGO shareholder carries.

UPSIDE RISKS

Developments that could drive the shares above our price target include the following:

- Discount normalisation. Each 5 percentage points of narrowing in the look-through discount is worth roughly C\$5.04 per share on our Dec-27 NAV; narrowing fully to a 5% discount from today's 25% would be worth roughly C\$20.16 per share versus our 18% base case.
- Breezeline stabilisation. Internet net losses fell from 5,726 in the first quarter of fiscal 2025 to 1,146 in the first quarter of fiscal 2026, before widening back to 4,472 in the third; a genuine, sustained inflection in that trend would remove the single biggest overhang on a segment that is 46% of consolidated EBITDA.
- Dividend growth. CGO's dividend grew 8.2% in FY25 and a further 7% in FY26; a similar 7% increase at CCA would lift the roughly C\$47.4mm of annual dividends CGO receives from its stake by about C\$3.3mm, improving dividend coverage from 1.24x toward 1.33x.
- Renewed strategic interest. The 2020 Rogers/Altice approach valued Cogeco Inc. shares at C\$123.00, a level today's C\$54.71 sits 56% below; any change in the family's stated position, however unlikely it says that is today, would be a re-rating event with a real precedent behind it.
- Cogeco Media re-rating. Moving our applied multiple from 6.0x to 8.0x, near the upper end of recent radio-sector transactions, would add roughly C\$3.54 per share to NAV on its own.
- Buyback accretion. Each C\$10mm of Cogeco Inc. share repurchases at the current C\$54.71 price would lift NAV per share by roughly C\$1.62, an accretive use of capital while the stock trades at a 35% discount to our estimate of its own look-through NAV.
- Wireless and fibre-expansion optionality. Cogeco Mobile already covers 99% of the Canadian footprint on C\$588mm of spectrum, and 2,149,675 homes are already passed in Canada; incremental penetration in either is not required by our base case.

DOWNSIDE RISKS

Developments that could drive the shares below our price target include the following:

- The discount may simply never close. Gestion Audem's 80.3%-vote control via 20-vote multiple voting shares is a structural feature, not a temporary mispricing, and the family has explicitly and repeatedly refused large, real cash offers, most notably the 2020 C\$11.1bn joint bid; there is no minority-shareholder mechanism to force a change.
- Breezeline could deteriorate further. Nine-month American telecommunications revenue fell to C\$970.4mm and internet net losses were 10,791; the goodwill remaining after the C\$1.8bn charge was not separately disclosed, so a further impairment cannot be ruled out if fibre overbuild and fixed wireless competition keep intensifying.
- Canadian wireline video and phone erosion continues industry-wide: 31,117 video and 18,886 phone net losses over nine months in Canada alone, and Cogeco's own fibre footprint is a small share of the roughly 2,149,675 homes passed relative to Bell and Videotron's own fibre builds in Quebec and Ontario.
- Leverage and a near-term maturity. CCA's net debt/EBITDA of 3.2x already sits above its roughly 3.0x internal target, and a US\$150mm senior secured note was reclassified to current at 31 May 2026 ahead of its September 2026 maturity, a refinancing event essentially concurrent with this note.
- Thin liquidity. Average daily volume of roughly 18,770 shares is only about C\$1.03mm per day at the current price; a C\$5mm position takes roughly 5 trading days to build or exit, and the discount can persist simply because there are too few natural buyers regardless of the underlying math.
- Coverage is thin and split. Only 2 analysts publish CGO targets (range C\$67.00-81.00) against 5 for CCA (range C\$68.00-83.00, 2 Buy / 3 Hold / 0 Sell); a wide range on so few analysts means each individual view moves the average a great deal.
- Regulatory ambiguity cuts both ways. CRTC Regulatory Policy 2024-180 mandated Bell, TELUS and SaskTel to open wholesale fibre access from February 2025, and CRTC Decision 2026-53 finalised those wholesale rates in April 2026, which independent ISPs argued were set too high; Cogeco itself faces no new obligations, but Bell and TELUS continue attacking its footprint with their own fibre builds regardless.
- Earnings quality. Nine-month GAAP diluted EPS of C\$(37.81) sits nowhere near the C\$8.22 adjusted figure; the market may reasonably choose to discount the adjusted number, and further impairment risk on the remaining, undisclosed Breezeline goodwill balance is a genuine and unquantifiable tail risk.

ANALYST CERTIFICATION

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Estimates labelled FY26E are built from nine months of actual fiscal 2026 results plus the trend embedded in Cogeco Communications' own reaffirmed guidance and are analyst-derived, not published consensus, which was not available for Cogeco Inc. Estimates labelled FY27E are entirely analyst-derived; no FY27 guidance or published consensus exists for either Cogeco entity at the time of writing. Figures marked with an en-rule ("–") were not disclosed on a comparable, verifiable basis and are shown as such rather than estimated. Prices, share counts and ownership percentages should be reverified against a live quote and the most recent management information circular before any external use of this document.

RATING DEFINITIONS

Overweight: expected total return of more than +15% over the rating horizon. Neutral: expected total return of -10% to +15%. Underweight: expected total return of less than -10%. The rating applied in this note follows mechanically from the derived price target relative to the last quoted price, with the current dividend assumed to continue at the current rate but not to grow further. These are generic sell-side rating conventions, not a registered firm's published rating scale.

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